COURSE: BANK LENDING AND LOAN ADMINISTRATION

COURSE CODE: FIN 417

TOPIC: INTRODUCTION TO SECURITIES FOR BANKER'S ADVANCE

1. **What is security?**

   Security is anything of value deposited or pledged as guarantee of the fulfilment of an undertaking or the repayment of a loan, to be forfeited in case of default. It is an asset or assets to which a lender can have recourse if the borrower defaults on any loan repayments. Security is what the borrower puts up to guarantee repayment of the loan. It may include tangible, intangible assets or even a personal guarantee.

2. **Characteristics of Good Security.**

   For any item to be used as Security, such item must possess some characteristics which include the following:

i. Non-Encumbrance:

   The security must be free from any disputes and legal charge from third party i.e. not charged against prior loans from other lender. A property or asset which has already been charged against a prior loan from some other lender should be avoided as a security. Because in that case, the banker will have a secondary claim on that particular security.

ii. Stability of price and Easy for Value:

   Price of security must be stable and appreciate over time. The process must not be long for bank to acquire it as security. The price of the goods and commodities which are necessaries of life are relatively stable over a short period, though not necessarily over a long period. But wide variations in the prices of luxury goods take place due to changes in demand, fashions, and tastes of the people. Bankers

are generally reluctant to accept as securities an item the prices of which are uncertain and fluctuate too widely and frequently.

iii. Legal Acceptability

The item of security must be legally acceptable in the society and in accordance with the law of the land. Asset accepted as security must be acceptable in the eyes of the law. Any asset considered illegal to own or possess will put the bank in difficulty at the time of disposing of. Moreover, the bank may face legal consequences for possession of illegal items.

iv. Adequacy

The item to be used as security must be adequate in value to cover the banks exposure. The value of the security must be adequate to cover the full amount of the loan. Moreover, a reasonable margin over the (loan is to be maintained. The margin is the difference between the market value of the security offered and the loan granted.

v. Proper Documentation

The item to be used as security must have proper documentation and all legal titles. The banker should see that proper documents such as a mortgage deed or the pledge agreement containing all terms and conditions of the mortgage or pledge are executed. This should be done in order to avoid all future disputes.

vi. Ownership & Possession

The borrower who wants to use an item as security must be the owner but mere ownership of an asset without its possession may lead to unwanted circumstances for the banker. Before accepting a security the banker must ensure the ownership of the property. An asset which is not owned by the lender may render difficulty in getting the loan repaid. Moreover, if the title of the property is defective the lender may face the problem.

vii. Income Generation/Low Maintenance Cost

The security item must be easy to take, must not be too costly to the borrower and the bank. An asset which generates earnings during the period in which the loan is outstanding is a better security than those which do not and are preferred by the bankers

viii. Marketability

The security must have a ready market. The bank has not taken the asset to keep it in its possession for an indefinite period but rather to sell it in the market and realize the loan amount. Hence, no matter how valuable the asset maybe it is of no use if it does not have a broad market.

ix. Liquidity

Liquidity refers to how quickly an asset can be converted into cash or other assets with little or no diminution in value. Ideally, a security should be liquid which will enable the banker to sell l he properly at a known price as soon as the default occurs.

3. Forms of Securities

There are two major forms of securities i.e. Personal Security and Non-Personal Security.

(a) Personal Security :

Personal security refers to the guarantee given by the borrower or by a third party in the lieu of pledging a tangible asset. This include Personal Guarantee and Life Insurance Policy. Since advancing loan against personal guarantee is very risky, banks rarely grant a loan against such security unless the borrower has a special and long relationship with the bank.

The character, integrity, financial solvency and social status are important factors that are looked into before sanctioning of loan against personal security.

(b) Non – personal Security:

Non-personal security refers to moveable and immoveable tangible properties against which loans are granted. This type of security may include Land, Building, Commodities etc. Non-personal Security is safer than personal security. In case the borrower defaults, a tangible property can be sold in the market to realize the unpaid amount.

Non-personal Security can be charged on the followings: Land (Mortgage), Debentures, Shares & Stocks, Goods (Lien, Pledge and Hypothecation)

LAND

Land is the surface of the earth and all substances forming that surface. It is also earth below the surface and all substances therein. Land include all things attached to the earth or permanently fastened to anything attached to the earth whether on or below the surface. Land also include areas covered by water.

Form of Ownership

(i) Freehold land:

This is a situation when one get absolute title to the land and it will last indefinitely. It has high market value than Leasehold land.

(ii) Leasehold land:

In a Leasehold, title to the Land expires at some date stated and lease expire, right of possession will revert to the freeholder. Leasehold has low market value as number of lease period (years) reduces.

MORTGAGE

A mortgage is a form of security created by contract which confers an interest in a property upon performance of the condition of paying a given sum of money. A

mortgage is the reassuring of interest in particular fixed properly for the reason of protection of payment of funds advanced by means of loan. A mortgage is created by way of a written mortgage agreement registered with the authority (government/land registry).

Nature of Mortgage

(i) Equitable Mortgage:

The Mortgage takes possession of the title deeds evidencing the transactions while the property continues to remain in the mortgagor's possession. An equitable mortgage does not convey a legal estate to the mortgagee. Equitable mortgage is a change in favor of a person and it is applicable to both freehold and leasehold. The essence of any transaction by way of mortgage is that a debtor confers upon his creditor a proprietary interest in property of the debtor, or undertake in a binding manner to do so by the realization or appropriation of which the creditor can procure the discharge or the debtors liability to him and that the proprietor's interest is redeemable or the obligation to create it is feasible, in the event of the debtor discharging his liability.

An equitable mortgage is a contract which operates as a security and is enforceable under the equitable jurisdiction of the court.

(ii) LEGAL MORTGAGE

A legal mortgage involves execution under seal and the transfer of legal title from the mortgagor to the mortgagee. This means a legal mortgage is a conveyance or assignment of the whole or part of the estate or interest of a debtor in real property of which he is the legal owner or which he has the power to transfer.
The essence of the legal mortgage is the vesting of a legal estate in the mortgagee, together with an immediate right of possession. Legal mortgage must follow the requirement of the law, it must be created by a Mortgage Deed.

GUARANTEE

A guarantee is one of the simplest for of security taken by a banker and as such it is very common. A Guarantee is a promise by one person (called the Guarantor or the surety) to answer for the present or future debt of a second person (called the principal debtor) such promise being made to the person to whom the principal debtor is or will become liable.

Parties to Guarantee

i. Guarantor – person who give Guarantee (surety)
ii. Creditor – Bank
iii. Principal debtor – Borrower

Types of Guarantee

i. Specific Guarantee: This relates to a single debt only where a bank accepts a guarantee to cover single loan e.g. Term Loan

ii. Continuing Guarantee: This covers a series of transactions for instance in an Overdraft (O/D) Facility, it guarantees not only the existing O/D at the time but also those in the future.

Advantages of a Guarantee as a security

i. Easy to take: Guarantor need to sign forms only
ii. Guarantee usually have fixed and stable value: Bank can inspect salary slip/ sources of income/ bank account.
iii. A Guarantee is a collateral security in case the borrower become bankrupt or goes into liquidation.
iv. Useful where borrower is unable to provide security such as property.

Disadvantages of Guarantee as a security

i. The guarantee's value depends wholly on the financial standing of the guarantor

ii. If guarantor refuse to pay, the bank will have to take legal action to compel payment, which is expensive and time consuming

iii. Guarantor may escape liability because of a technical defect in the security such as undue influence or misrepresentation.

iv. Bad feeling between guarantor and banker may result if guarantor is called upon to pay the debt

LIEN

Lien is first kind of security which is the right of holdings the goods of the borrower until the loan is repaid. The borrower remains the owner of the goods but the possession is given to the lender. The agreement of lien explains whether it relates a particular debt or debts in general. In ordinary lien creditor has only the right of possession of goods. He has no right to sell it, but the banker's lien is not the same. The banker has a right to sell the good after a proper notice. The banker gets the property of the customer as his banker. Thus papers of money or goods with the banker are not for the purpose other than lien. The banker takes the possession lawfully. There must not imply or expressed agreement against lien.

PLEDGE

Pledge can be defines as "bailment of goods as protection for payment of a money owing or act of a promise". It is usually made on moveable properties and financial instruments. In the case of pledge, there should be bailment of goods and the bailment should be on behalf of the debtor or an intending debtor. The delivery of goods is necessary for the contract of bailment. The delivery may be actual or constructive. The constructive delivery is made when the bailee puts his lock on the doors of the property storing the pledged goods or merely key of the lock on the store door is received. It is essential that the bailee should return the same goods to the bailer or dispose them off according to his instructions.

HYPOTHECATION

Letter of Hypothecation is also from one of the types of securities and can be defines as “A lawful transaction and essential goods are always accessible as security for a balance due without transferring either the property or the possession to the lender”. It is clear that possession and ownership of the goods remain with the borrower and an equitable charge is created in favor of the lender. The borrower agrees to give the possession of the goods to the banker whenever the banker requires him to do so. It is possible when the transfer of possession is either inconvenient or impracticable. If the borrower offers raw material or goods in possession as security, the transfer of possession will stop the functioning of borrowers business. The creditor possesses the right of a pledge under the hypothecation deed. The position of the banker under hypothecation is not as safe as under a pledge. If the borrower fails to give the possession of the goods hypothecated, the bank can file a suit in the court of law for the recovery of amount lent. The advances against hypothecation are risky. The bank should make sure that the party has a good reputation, should check property regularly and asks the hypothecator to submit periodical reports.